

Titanium Metals

I took a position in Titanium Metals Corp. (TIE) in early 2011 just as a descending scallop was forming. Here's what I wrote: "24 March 2011. I like the tight base forming over the last week or two. This looks like a descending scallop. Boeing is selling more planes, which should help the stock, but that news hasn't had an effect. S&P rates this a sell because they think it's overvalued but expect the aerospace industry to grow in 2011. CEO Simmons has been buying since August 2010, big shares, too. Everyone (analyst reports) says that this company will do poorly going forward, but I like the chart. This is not a value play, but with sales increasing or likely to do so, I think this cyclical play will prosper."

I took a small position in the stock near the bottom of the bowl and well before the right lip.

The stock cooperated ... for a time. It climbed, formed the right scallop rim, retraced, and climbed 14% above my buy price less than 2 months after I bought.

After that, the stock went downhill.

At the end of the year, I reevaluated the stock and decided to capture the loss for taxes and sold the stock, taking a 13% loss. Two dividend payments helped cushion the blow along the way. "Sell reason: tax loss selling. This has gone nowhere all year in a choppy form, so I selected it for tax loss selling."

- Lesson: I didn't appear to have a stop-loss order in place or even a viable trading plan. Placing a stop below the scallop bowl would have limited losses to 5%.
- Lesson: In both of these trades, I was hoping price would recover, but the bearish pattern (the majority of descending scallops break out downward, so it's bearish) carried price lower. Perhaps these trades are two examples of using incorrect tools for the job. Don't use a bearish pattern hoping for a bullish result.